**NATIONAL COMPANY LAW TRIBUNAL**
**GUWAHATI BENCH**
**GUWAHATI**

**ORDER SHEET OF THE HEARING ON 22nd MARCH, 2024, 10:45 A.M.**

**CP (CAA)/11/GB/2022**

**Present: 1. Hon'ble Member (Judicial), Shri H.V. Subba Rao**
**2. Hon'ble Member (Technical), Shri Satya Ranjan Prasad**

| | |
|---|---|
| Name of the Company | Arrow Alloys Pvt. Ltd. & Other Nine Transferor Companies.<br>And<br>KCL Estates Pvt. Ltd. (Transferee Company) |
| Under Section | U/s 230 to 232 of Companies Act, 2013 |

For Petitioner (s) : Mr. Yashraj Agarwalla,, PCS.
For Respondent (s) :

**ORDER**

Order Pronounced through VC *vide* separate sheets.

Sd/-
**Satya Ranjan Prasad**
**Member (Technical)**

Sd/-
**H.V. Subba Rao**
**Member (Judicial)**

**NATIONAL COMPANY LAW TRIBUNAL**
**GUWAHATI BENCH**
**GUWAHATI**

**C.P (CAA)No 11 / GB / 2022**
**Connected With**
**C.A. (CAA) No.09/GB/2022**

***In the matter of:***

The Companies Act, 2013 and a petition for sanction of Scheme of Amalgamation made under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016;

-And-

***In the matter of:***

**Arrow Alloys Pvt Ltd** (CIN U27101AS1993PTC004045), a company incorporated under the provisions of Companies Act, 1956 on 16th December, 1993 and having its registered office at Lohia House 2nd Floor M G Road Fancy Bazar, Guwahati-781001 in the state of Assam, within the aforesaid jurisdiction; **… Transferor Company No. 1**

-And-

***In the matter of:***

**Bee Kay Breverages Private Limited** (CIN U15543AS2000PTC006347), a company incorporated under the Companies Act, 1956 on 03rd November 2000 and having its registered office at Lohia House, M. G. Road Fancy Bazar Guwahati-781001 in the state of Assam, within the aforesaid jurisdiction; **… Transferor Company No. 2**

-And-

***In the matter of:***

**B R Developers Private Limited** (CIN U45201AS2008PTC008562), a company incorporated under the Companies Act, 1956 on 10th January, 2008 and having its registered office at SBBJ Building, 3rd Floor S.R.C.B Road, Fancy Bazar Guwahati-781001 in the state of Assam, within the aforesaid jurisdiction;

**… Transferor Company No. 3**

-And-

***In the matter of:***

**KCL Developers Private Limited** (CIN U45201AS2008PTC008572), a company incorporated under the Companies Act, 1956 on 22nd January 2008 and having its registered office at 2nd Floor, Lohia House M.G. Road, Fancy Bazar Guwahati-781001, in the state of Assam, within the aforesaid jurisdiction; **… Transferor Company No. 4**

-And-

***In the matter of:***

**KCL Properties Private Limited** (CIN U70101AS2010PTC010210), a company incorporated under the Companies Act, 1956 on 27th September, 2010 and having its registered office at SBBJ Building, 3rd Floor S.R.C.B Road, Fancy Bazar Guwahati Kamrup-781001 in the state of Assam, within the aforesaid jurisdiction;

**… Transferor Company No. 5**

-And-

***In the matter of:***

**Mother Care Hospital Private Limited** (CIN U85110AS2003PTC007151), a company incorporated under the Companies Act, 1956 on 04th September, 2003 and having its registered office at Lohia House 2nd Floor M G Road Fancy Bazar Guwahati-781001 in the state of Assam, within the aforesaid jurisdiction; **… Transferor Company No. 6**

-And-

***In the matter of:***

**Rahul Financial Services Pvt Ltd** (CIN U67120AS1993PTC004007), a company incorporated under the Companies Act, 1956 on 15th October, 1993 and having its registered office at Subham Velocity, 2nd Floor, Honuram Boro Path, G S Road Guwahati Kamrup 781005, in the state of Assam, within the aforesaid jurisdiction;

**… Transferor Company No. 7**

-And-

***In the matter of:***

**Rainbow Ispat Private Limited** (CIN U27100AS2008PTC008610), a company incorporated under the Companies Act, 1956 on 04th March, 2008 and having its registered office at 2nd Floor, Lohia House M.G. Road, Fancy Bazar Guwahati-781001 in the state of Assam, within the aforesaid jurisdiction; **… Transferor Company No. 8**

-And-

***In the matter of:***

**Subham Planners Private Limited** (CIN U45400WB2007PTC115298), a company incorporated under the Companies Act, 1956 on 25th July, 2007 and having its registered office at Subham Velocity, 5th Floor Honu Ram Boro Path, G S Road Guwahati-781005 in the state of Assam, within the aforesaid jurisdiction;

**… Transferor Company No. 9**

-And-

***In the matter of:***

**SBR Developers Private Limited** (CIN U70101AS2003PTC007191), a company incorporated under the Companies Act, 1956 on 19th August, 2003 and having its registered office at SBBJ Building, 3rd Floor S.R.C.B Road, Fancy Bazar Guwahati Kamrup-781001 in the state of Assam, within the aforesaid jurisdiction;

**… Transferor Company No. 10**

-And-

***In the matter of:***

**K C L Estates Private Limited** (CIN U70101AS1998PTC005556), a company incorporated under the Companies Act, 1956 on 09th October, 1998 and having its registered office at Lohia House M G Road Fancy Bazar Guwahati AS 781001 in the state of Assam, within the aforesaid jurisdiction. **… Transferee Company**

***Coram:***

Shri H. V. Subba Rao : Member (Judicial)

Shri Satya Ranjan Prasad : Member (Technical)

***Appearances (through video conferencing):***

For the Petitioners : Mr. A. Guha, Advocate

Regional Director : Mr. K. Arvind, ARD, NER

**Order reserved on: 12.03.2024**

**Order pronounced on: 22.03.2024**

**ORDER**

1. This Present Company Petition has been filed jointly by the Petitioners under Sections 230-232 of the Companies Act, 2013 seeking sanction of this Tribunal to a Scheme of Amalgamation of Arrow Alloys Pvt Ltd, Bee Kay Breverages Private Limited, BR Developers Private Limited, KCL Developers Private Limited, KCL Properties Private Limited, Mother Care Hospital Private Limited, Rahul Financial Services Pvt Ltd, Rainbow ISPAT Private Limited, Subham Planners Private Limited, SBR Developers Private Limited (All Transferor Companies) with KCL Estates Private Limited-Transferee Company whereby and where under the entire undertakings of the Transferor Companies as a going concern together with all the assets and liabilities relating thereto is proposed to be transferred to and be vested in the Transferee Company on the terms and conditions with effect from the Appointed Date being 01st April,2021 as mentioned in the Scheme. A copy of the said Scheme of Amalgamation has been annexed to the Company Petition.

2. The registered offices of the Transferor Companies and Transferee Company are situated in the State of Assam, within the jurisdiction of this Bench.

3. From the available records, it is seen that the first motion application seeking various directions was filed before this Tribunal *vide* CA (CAA) No. 9/GB/2022 and based on such joint application moved under Section 230-232 of the Companies Act, 2013,

directions were issued by this Tribunal, wherein the meetings of Equity Shareholders and the Creditors of the Transferor Companies and the Transferee Company was dispensed with *vide* Order dated 28.07.2022.

4. It is submitted that the Petitioner Companies have complied with all directions passed by this Tribunal in Company Application No. CA (CAA) No. 09/GB/2022 and have filed the present Company Petition seeking sanction and confirmation of the Scheme.

5. The Petitioners *vide* supplementary affidavit dated 04th February 2023 submits that the Transferor Company No. 7- Rahul Financial Services Pvt. Ltd. *vide* letter dated 14th December 2022, voluntary requested the Reserve Bank of India for the cancellation of the Certificate of Registration issues to it as it was not carrying financial activities as principal business. Reserve Bank of India, after considering the submissions made by the Transferor Company No. 7, cancelled the Certificate of Registration bearing No. 09.00017 dated 22 April 1998 issued to Rahul Financial Services Pvt. Ltd. Thus, with effect from 23rd January 2023, Transferor Company No. 7 is no longer a Non-Banking Financial Company and hence it is not required to obtain any No-Objection Certificate from RBI.

6. *Vide* order date 31.03.2023 passed by this Tribunal, the Company Petition C.P(CAA) NO 11/GB /2022 was admitted, with directions for publication of notice of hearing to be advertised in "North East Times" in English and "Amar Asom" in vernacular language. The Petitioners were also directed to serve notice upon following Authorities, namely, Income Tax Authorities Concerned (indicating the respective PAN Nos.), ROC NER Guwahati, Official Liquidator and Regional Director as well as other Sectorial Regulators or authorities. The same have been complied with and affidavit of compliance has been filed.

7. It is submitted by the Petitioners that:

   7.1 None of the Companies are involved in the Scheme are NBFC Companies.

7.2 The Board of Directors of the Petitioner Companies have at their respective meetings have passed resolution approving the Scheme and all of which are collectively annexed to the Company Petition and marked – Annexures A-37 to A-46.

7.3 The list of shareholders and creditors of the Petitioner Companies are all collectively annexed to the Company Petition and marked – Annexure A-47

7.4 The Valuation Report dated 14th April 2022 prepared by Anik Kumar Gupta, IBBI Registered Valuer recommending the Swap Ratio for shares to be allotted by Transferee Company to the Shareholders of the Transferor Companies are all collectively annexed to the Company Petition and marked – Annexure A-49.

7.5 The Statutory Auditors of the Petitioner Transferee Company by certificate dated 30.05.2022 have confirmed that the accounting treatment mentioned in the Scheme is in conformity with Accounting Standard prescribed under Section 133 of the Companies Act, 2013 and Rules made there under. Copy of the said certificate has been annexed to the Company Petition being – Annexure A-50

7.6 None of the Directors of the Petitioner Company has any material interest in the said Scheme of Amalgamation except as shareholders in general, the extent of which will appear from the Register of Directors and Shareholders maintained by the Company.

7.7 The assets of the Petitioner Companies are sufficient to meet all its liabilities and the said Scheme of Amalgamation will not adversely affect in any manner whatsoever.

7.8 There are no proceedings pending under Section 210, 213 to 216, 219, 220, 222 to 225 of the Companies Act, 2013 against the petitioner companies.

8. The Regional Director, North-eastern Region, Ministry of Corporate Affairs have filed its report, with the following observation in Paragraph 2:

**Para 2(a):** Petitioners have not served a copy of the petition filed before Hon'ble NCLT in 1st motion and 2nd motion. This observation is made on

the basis of notice and scheme received in the office along with their reply and a comprehensive representation of the deponent is feasible after service of petition(s) by the petitioners.

**Reply by the Petitioners:** Copy of the petition filed before this Tribunal was duly served upon the Registrar of Companies, Guwahati and Regional Director, Guwahati on 10th August 2022. A copy of the notice and proof of service of the same has been annexed.

**Para 2 (b)**: The report of the Registrar of Companies, Guwahati is not received for want of service of petition, 1st motion or second motion by the petitioner.

**Reply by the Petitioners:** Copy of the petition filed before this Tribunal was duly served upon the Registrar of Companies, Guwahati on 10th August 2022. A copy of the notice and proof of service of the same has been annexed.

**Para 2 (c)**: A criminal complaint no 1578/2016 has been filed by ROC Guwahati against company namely KCL Developers Pvt Ltd & its directors u/s 203 of the Companies Act, 2013 before the Hon'ble Court of Chief Judicial Magistrate, Shillong and the same is pending for want of appearance of accused persons / petitioner of the instant petition. The said company is one of the transferor companies.

As per Para 9 of the scheme, *"Upon the scheme finally coming into effect, the directors) of the transferor company no. 01 to 10 shall cease to be directors of the transferor company no. 1 to 10, without any further approvals, resolutions, filings etc."*

Para 17 of the scheme states that *"on the scheme becoming effective, the transferor company no. 1 to 10 shall be dissolved without winding up."*

The above resultant effect of approval of the scheme shall have cascading effect on the aforesaid criminal complaint and the petitioner is obliged to satisfy the Hon'ble Bench as to how the compliance of law shall be ensured before Hon'ble CJM Court, Shillong inclusive of representation of the company and its directors in case scheme is approved.

**Reply by the Petitioners:** The criminal case pending against the Company name KCL Developers Pvt Ltd and its directors under section 203 of the Companies Act, 2013 as filed before the Hon'ble Court of Chief Judicial Magistrate, Shillong will get transferred to the Transferee Company and its directors as per the point 10 of the Scheme. A copy of the scheme pointing the relevant point where any cases pending against the Transferor Companies will be transferred to the Transferee Company has been annexed.

**Para 2 (d):** On perusal of the master data of the companies as stated above, the charge of the following companies are open against the petitioners, on MCA portal:

| Sl. No. | Company | Charge (Amount in Rs.) |
|---|---|---|
| 1 | Arrow Alloys Pvt Ltd | 1,43,12,500/- |
| 2 | Bee Kay Breverages Pvt Ltd | 2,26,31,250/- |
| 3 | KCL Developers Pvt Ltd | 15,43,750/- |
| 4 | KCL Estates Pvt Ltd | 19,27,500/- |
| 5 | Rahul Financial Services Pvt Ltd | 1,10,87,500/- |

The charge of the above said companies are showing open, which is required to be closed by them on MCA Portal before praying sanction of the scheme of amalgamation by Hon'ble NCLT. The master data of the above said companies has been annexed.

**Para 2 (e)**: Para 7 of the NCLT order dated 28.07.2022 in CA (CAA) No. 9/GB/2022 states that the meeting of the creditors of the transferor companies as well as the transferee company is dispensed with in view of certificates issued by statutory auditor certifying NIL Creditors in all the applicant companies. On the other hand, open charges against the petitioner(s) are available in the master data of the MCA portal which appears to be contrary to the above certification by the Statutory Auditor of the company.

**Reply by the Petitioners:** With regards to point 2(d) and 2(e), the charge showing the MCA portal against the Companies Arrow Alloys Pvt Ltd, Bee

Kay Breverages Pvt. Ltd, KCL Developers Pvt. Ltd, KCL Estates Pvt Ltd and Rahul Financial Services Pvt Ltd are the loan facilities taken by the other Company Brahmaputra Metallics Ltd (BML) where the shares of BML are pledged with the BML consortium of lenders. Therefore, Brahmaputra Metallics Ltd has pledged its group companies shares for the bank facilities taken by the company. The said charge will get consolidated in favour of the Transferee Company and the guarantee will continue. The copy of the Form CHG-1 with challans are annexed.

**Para 2(f)**: The Transferee company should undertake to comply with the provisions of section 232(3)(i) of the Companies Act, 2013 through appropriate affirmation in respect of fees payable by Transferee Company for increase of share capital on account of merger of transfer of companies.

**Reply by the Petitioners:** The Petitioners will comply with the provisions of section 232(3)(i) of the Companies Act, 2013 and if there will be any requirement towards payment of fees for increase in authorized capital of the Transferee Company on account of merger of transferor companies, the same will be duly complied with.

**Para 2 (g)**: In compliance of Accounting Standard-14 or IND-AS 103, as may be applicable, the transferee company shall pass such accounting entries which are necessary in connection with the scheme to comply with other applicable Accounting Standards such as AS-5 or IND AS-8 etc.

**Reply by the Petitioners:** The Petitioners will comply the Accounting Standard-14 or IND-AS 103 and such accounting entries which are necessary in connection with SAM GOVT the Scheme to comply with other accounting standards such as AS- 5 or IND-AS-8, as applicable upon the Company.

9. The Official Liquidator, Guwahati has made its representation dated 27.7.2023 and has no adverse observations, to the extent of proposed Scheme of Arrangement/ Amalgamation within the relevant provisions of the Companies Act, 2013.

10. The Income Tax Department has made no representation, and hence, presumed that the department has No Objection against the Scheme of Amalgamation.

11. *Vide* order dated 27.10.2023, the matter was de-reserved for want of certain clarifications from the Petitioner side in respect of the observations made by RD, NER. However, there was no appearance from the Petitioner side on 27.10.2023 and on the subsequent date i.e. 04.12.2023. The matter was again listed on 25.01.2024, wherein the RD NER stated that the copy of the petitions have not been served on them and therefore, they were not in a position to file a comprehensive report. The Ld. Counsel appearing for the Petitioner submitted that the petitions have already been served on RD and ROC. However, it was noted that the relevant Affidavit of Service has not been filed. In the stated scenario, petitioner side was directed to serve the copy of the petitions to RD, ROC and Official Liquidator and file affidavit on service at least 3 days before the next date of hearing i.e. on 12.03.2024 and on receipt of the copy of petition they shall have three weeks' time to file their comprehensive representation/report, if any.

12. During the last hearing on 12.03.2024, Ld. Counsel for the Petitioner submitted that all the petitions have been served on the Regional Director and RoC and the relevant affidavit of service has also been filed with the Registry. Ld. ARD, Mr. K. Arvind confirmed in the Court that the earlier report filed by them in the matter is the final report and they have no further observation/ additions to make. In view of the submissions of the Ld. ARD Mr. K. Arvind, the matter was reserved for orders based on the earlier report of RD, NER.

13. Heard submissions made by the Ld. Counsel appearing for the Petitioner, the Regional Director, NER, Ministry of Corporate Affairs, who appeared and was heard. Upon perusing the records and documents in the instant proceedings and considering the submissions, we allow the petition and make the following orders:

    13.1 The Scheme of Amalgamation mentioned in this Petition being Annexure "A-1" hereto be sanctioned by this Tribunal to be binding with effect from 1st day of April, 2021 on **Arrow Alloys Pvt Ltd, Bee Kay Breverages Private Limited, BR Developers Private Limited, KCL Developers Private**

**Limited, KCL Properties Private Limited, Mother Care Hospital Private Limited, Rahul Financial Services Pvt Ltd, Rainbow ISPAT Private Limited, Subham Planners Private Limited, SBR Developers Private Limited** (All Transferor Companies) with **KCL Estates Private Limited** (Transferee Company) and their shareholders and all concerned;

13.2 All the property, rights and powers of the Transferor Company, including those described in the Schedule of Assets herein, be transferred from the said Appointed Date, without further act or deed, to the Transferee Company and, accordingly, the same shall pursuant to Section 232(4) of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the estate and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same, as provided in the Scheme;

13.3 All the debts, liabilities, duties and obligations of the Transferor Company be transferred from the said Appointed Date, without further act or deed to the Transferee Company and, accordingly, the same shall pursuant to Section 232(4) of the Companies Act, 2013, be transferred to and become the debts, liabilities, duties and obligations of the Transferee Company;

13.4 All proceedings and/or suits and/or appeals now pending by or against the Transferor Company be continued by or against the Transferee Company, as provided in the Scheme;

13.5 The Transferee Company do without further application issue and allot to the shareholders of the Transferor Company, the shares in the Transferee Company to which they are entitled in terms of the Scheme;

13.6 All proceedings and/or suits and/ or appeals now pending by or against the Transferor Companies shall be continued by or against the Transferee Company; however, if any suit, writ petition, investigation appeal, criminal or other proceedings of whatsoever nature is pending against the petitioner Companies or entities associated with petitioner companies, their directors, shareholders, employees etc., the same shall not abate, be discontinued or be in any way prejudicially affected by reason of the transfer of business of the Transferor Company or because of anything contained in the scheme, but the

proceeding shall continue, prosecuted and enforced by or against the Transferee Company/Transferor Company entities etc. in the same manner and to the same extent as it would or might have been continued, prosecuted and enforced by or against the Transferor Companies and their associated entities, directors, shareholders, employees etc. as if the Scheme had not been made.

13.7 All the employees of the Transferor Companies in Service, if any, on the date immediately preceding the date on which the scheme takes effect, i.e., the effective date shall become the employees of the Transferee Company on such date without any break or interruption in service and upon terms and conditions not less favourable than those subsisting in concerned Transferor Company on the said date;

13.8 Leave is granted to the Petitioner(s) to file the Schedule of Assets of the Transferor Company in the form as prescribed in the Schedule to Form No. CAA7 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within three weeks from the date of receiving a copy of this order;

13.9 The Transferee Company shall within thirty days of the date of the receipt of this order, cause a certified copy thereof to be delivered to the Registrar of Companies for registration and on such certified copies being so delivered, the Transferor Company shall be dissolved with effect from the date or last of the dates of filing of the certified copies of the order, as aforesaid Effective Date and the Registrar of Companies shall place all documents relating to the Transferor Company and registered with him on the file kept by him in relation to the Transferee Company and the files relating to the said companies shall be consolidated accordingly.

13.10 The Transferor Company shall be dissolved without winding up from the date of filing of the certified copy of this order with the Registrar of Companies, Guwahati and the Registrar of Companies shall place all documents relating to the Transferor Company and registered with him on the file kept by him in relation to the Transferee Company and the files of the said Transferee Company and the Transferor Company shall be consolidated accordingly;

13.11 While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law.

14. The legal fees and expenses of the office of the Official Liquidator are quantified at Rs. 75,000.00 (Rupees Seventy Five Thousand only) in respect of the Transferor Companies. The said fees to the Official Liquidator shall be paid by the Petitioner/Transferee Company within four weeks from the date of issuance of certified copy of the Order by the Tribunal.

15. The legal fees and expenses of the office of the Regional Director are quantified at Rs. 1,00,000.00 (Rupees One Lakh only) in respect of the Petitioner Companies. The said fees to the Regional Director shall be paid by the Transferee Company within four weeks from the date of issuance of certified copy of the Order by the Tribunal.

16. Company Petition (CAA) No.11/CB/2022 is disposed of accordingly.

17. The Registry is directed to send e-mail copies of the order forthwith to all the parties and their Ld. Counsel for information and for taking necessary steps.

18. Certified Copy of this order may be issued, if applied for, upon compliance of all requisite formalities.

19. File be consigned to records.

Sd/-

**Satya Ranjan Prasad**
**Member (Technical)**

Sd/-

**H.V. Subba Rao**
**Member (Judicial)**

*Signed this on 22nd day of March 2024*